



RISK TAKING WILLINGNESS

Now that we can evaluate our risk-taking ability, the next thing we can focus on is, our 'willingness' to take risks. First, let us differentiate between 'ability' and 'willingness'. Ability to take risk depends on our circumstances and goals. However, willingness to take risks is much more of a 'psychological' factor. It depends more on our preferences and past experiences with different assets, rather than circumstances.

For people in the same circumstances, the risk-taking ability might be the same, but the willingness may vary. It is very subjective and the degree of risk people are willing to take depending on their past experiences with different asset classes varies from person to person. Thus, here we need to assess whether people are willing to take the risk that is proposed by the GETAI principle and the plan even if they do have the risk-taking ability. We will then make changes to the Lazy Financial Plan based on the person's willingness.

As part of identifying our risk-taking willingness, we need to understand the kind of person we are financially. So, before we move forward, answer the given questions.

What kind of a person are you in terms of decision making?

Emotional

Logical

What kind of an attitude do you have towards investing?

Aggressive

Defensive